Chapter summary

Familiarising yourself with **items in green** is important for effective revision.
Paying attention to items in the boxes is helpful for understanding the concept(s).

22.1 Fiscal Policy

- Fiscal policy refers to intentional changes or adjustments in government expenditure and/or taxes to achieve certain economic goals.

Basic principles of taxation

Equity	Taxpayers pay their taxes in proportion to their income.
Certainty	Rules about and procedures of the processing of tax returns and the collection of tax should be clearly defined.
Convenience	The methods of processing tax returns and paying tax should be as convenient as possible for taxpayers and the government.
Economy	The cost of administering the tax system should be kept as low as possible.

Classification of taxes

- Depending on whether or not a tax is possible to shift the tax burden to a third party:

Direct tax	• It is a tax of which **the burden cannot be shifted to other parties**. • It is usually levied on people's wealth or income.
Indirect tax	• It is a tax of which **the burden can be shifted from the party being taxed to other parties**. • It is usually levied on goods and services.

- Depending on how the (average) tax rate varies with income levels:

Progressive tax	• It takes an increasing proportion of income as tax payment as income increases. • The average tax rate increases when income increases.
Proportional tax	• It takes a fixed proportion of income as tax payment as income increases. • The average tax rate remains unchanged when income increases.
Regressive tax	• It takes a decreasing proportion of income as tax payment as income increases. • The average tax rate decreases when income increases.

- If a tax is regressive, tax payment may remain the same or increase at a lower rate than income as income increases.
- An *ad valorem* tax is a regressive tax.

$$\text{(Average) tax rate} = \frac{\text{Tax payment}}{\text{Income}} \times 100\%$$

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Effects of taxation

- On income inequality:

Type of tax	Possible effect on income inequality
Progressive tax	reduce
Regressive tax	worsens
Proportional tax	no effect

- On working incentive:
  - Incentive to work may decrease and labour supply may fall.
- On investment incentive:
  - Incentive to invest decreases.
  - Total investment decreases.
- On consumption pattern:
  - Consumers may switch to substitutes that are not taxed.
- On the allocation of resources:
  - Firms allocate resources to produce goods that are not taxed.



A decrease in profits tax rate may not necessarily lead to a decrease in tax revenue.

Government revenue in Hong Kong

- The principle of taxation in Hong Kong
  - Hong Kong adopts a **source principle** (or a **territorial source principle**) of taxation.
  - Only income and profits earned in Hong Kong are subject to tax, while **income and profits earned outside Hong Kong are not taxable in Hong Kong**.
- Example of direct taxes and indirect taxes in Hong Kong

Type of tax	Examples
Direct taxes	• profits tax • property tax • salaries tax
Indirect taxes	• bets and sweeps tax • stamp duties • air passenger departure tax • duties • general rates • motor vehicles first registration tax • royalties and concessions

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Public expenditure

- Classification of public expenditure
  - By policy area group
  - By the nature of expenditure: Recurrent expenditure and capital expenditure
- Measuring the size of the public sector
  - The size of public sector can be measured by the ratio of public expenditure to GDP.
  - The higher the ratio, the larger the quantity of society's resources that is controlled by the government.
- Socio-economic implications of changes in public expenditure

Aspect	Possible impact of government changing public expenditure
On income distribution	Income inequality will be reduced when the government increases public expenditure on social welfare.
On employment	Unemployment rate will decrease when the government increases public expenditure on infrastructure.
On productivity	Labour productivity will increase when the government increases public expenditure on education and training.

Budget

- Different types of budget:

Surplus budget	planned expenditure < planned revenue
Deficit budget	planned expenditure > planned revenue
Balanced budget	planned expenditure = planned revenue

For various reasons, a surplus budget may not end up with a budget surplus and a deficit budget may not end up with a budget deficit.

- Actual revenue and expenditure:

Budget surplus	actual expenditure < actual revenue
Budget deficit	actual expenditure > actual revenue

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Effects of fiscal policies on price and output levels

- Meanings and short run effects of fiscal policies:

	Expansionary fiscal policy	Contractionary fiscal policy
Meaning	an increase in government expenditure and/or a decrease in net taxes by the government	a decrease in government expenditure and/or an increase in net taxes by the government
Short run effects	• Aggregate demand ↑ • Price level ↑ • Output level ↑	• Aggregate demand ↓ • Price level ↓ • Output level ↓

In the long run, an expansionary (a contractionary) fiscal policy will raise (lower) the price level but has no effect on the output level.

- When the government adopts fiscal policies that lead to an increase (a decrease) in both government expenditure and taxes by the same amount, the overall effect is expansionary (contractionary).

22.2 Monetary Policy

- **Monetary policy** refers to intentional changes in money supply and/or the interest rate by the central bank or the government to achieve certain economic goals.

Monetary policy tools

Monetary policy that leads to an increase in money supply	Monetary policy that leads to a decrease in money supply
• Open market purchase of government bonds • Discount rate ↓ • Required reserve ratio ↓ • Printing more money	• Open market sale of government bonds • Discount rate ↑ • Required reserve ratio ↑

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Effects of monetary policies on price and output levels

- Meanings and short run effects of monetary policies:

	Expansionary monetary policy	Contractionary monetary policy
Meaning	an increase in the money supply and/or a decrease in the interest rate by the central bank or the government	a decrease in the money supply and/or an increase in the interest rate by the central bank or the government
Short run effects	Money supply ↑ → Interest rate ↓ → Private consumption expenditure and investment expenditure ↑ → Aggregate demand ↑ → Price level ↑ → Output level ↑	Money supply ↓ → Interest rate ↑ → Private consumption expenditure and investment expenditure ↓ →Aggregate demand ↓ → Price level ↓ → Output level ↓

Monetary policy in Hong Kong

- Over the years, the HKSAR Government has not been actively using monetary policies to influence the economy. There is limited scope for an active monetary policy.

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